win in 2019, securing 151 of the 175 assembly seats (the TDP got 23) and 22 of the 25 Lok Sabha seats.

Defection by four TDP Rajya Sabha members to the BJP in 2019 considerably weakened the party, while concentration of power in the hands of a few has led to widespread disillusionment in party rank and file. The prominent role played by Naidu's son Nara Lokesh, the national general secretary of the TDP, is decried by senior leaders in private. However, he has gained some traction with voters and party members during his ongoing Yuva Galam march.

On being asked who would support him in leading the party after Naidu was sent to the Rajamahendravaram Central Prison, the TDP scion mentioned prospective ally Pawan Kalyan of the Jana Sena Party (JSP), rather than point to party leaders. Lokesh expects support from the JSP and the BJP. State BJP chief D. Purandeswari is Chandrababu Naidu's sister-in-law. Both the state BJP and JSP vociferously protested Naidu's arrest.

Kalyan is striving to bring together the TDP and the BJP in a quest to build an alliance against the YSRCP. But if Naidu's detention is a long one, the prospects of a meticulously organised electoral battle that Naidu is known for are bleak. The only person who will gain if this comes to pass is Y.S. Jagan Mohan Reddy. ■

CURRENCY

CAN THE E-RUPEE WORK?

By M.G. Arun



SHUTTERSTOCK

Last year, India joined a growing list of countries exploring digital versions of their currencies. It is now planning to broaden the scope of its pilot project in the digital rupee. According to the US-based think-tank Atlantic Council, as many as 130 countries, representing 98 per cent of the global economy, are now exploring digital versions of their currencies, with almost half in advanced development, pilot or launch stages. Where does India stand on its pilot programme and what are the benefits of the digital rupee? A few FAQs:

What is the digital rupee and when was it launched?
The digital rupee (also referred to as e-rupee) is India's version of a central bank digital currency (CBDC).

The Reserve Bank of India (RBI) launched the digital rupee as a pilot project in the wholesale segment on November 1, 2022, for use in the settlement of secondary market transactions in government securities. A secondary market is one where financial instruments like bonds are traded.

The pilot project in the retail segment was launched on December 1 the same year for use within a closed-user group comprising participating customers and merchants.

What is the volume of digital rupees in circulation?
The total value of the digital rupee in circulation stood at Rs 16.4 crore as of March 31, 2023, of which Rs 5.7 crore was in the retail segment. Since it is a pilot project, it is not strictly comparable with the total value of banknotes in circulation, which stood at Rs 33.5 lakh crore, and coins at Rs 30,242 crore.

How does the digital rupee work?
In the retail segment, the digital rupee is being distributed through banks as a pilot project. RBI has created tokens that have been issued to banks selected for the pilot programme. Starting with four banks and four locations, the retail pilot is now operationalised by 13 banks across 26 locations. The banks have distributed the tokens to some customers, who need to store them in a digital